

debt affordability despite a lengthening track record of fiscal deficit consolidation since the pandemic.”

GREAT EXPECTATIONS

Policy watchers note that the government has not waited for the Union Budget to unveil reforms in recent years. Even so, there are expectations that Budget 2026-27 will propose more reforms to build a self-reliant and resilient economy that would carry forward the growth momentum.

Sources underline that the focus on decriminalisation and deregulation will continue to improve the ease of doing business, while the government will also work on extending more support to micro, small and medium enterprises (MSMEs) and exporters. These measures are expected to attract more foreign investments, which have reduced amid the recent global turbulence.

Though several measures have already been undertaken, more reforms in the customs duty structure, including rates and processes, are expected in the Union Budget. This would help exporters and align with the country's foreign trade policy. A three-tier customs duty structure is expected along with a revamp of various schemes including the Special Valuation Branch (SVB) and the Authorised Economic Operator as well as tweaks in the Special Economic Zone scheme.

“Customs reforms are expected to be on the 4S—slabs, simplification, SVB and SEZ,” says Harpreet Singh, Partner, Indirect Tax at Deloitte India.

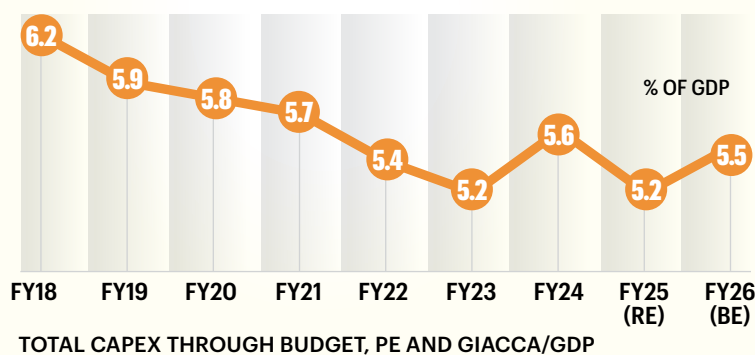
The delivery and implementation of reforms will also be a key focus. For instance, industry is awaiting clarity on the fine print of the Labour Codes.

Experts and agencies are also waiting for clarity on the government's debt reduction and fiscal consolidation plan that is expected to be unveiled in the Budget. The government is expected to state how it plans to lower its debt as a percentage of GDP, a goal that was announced in the previous Budget.

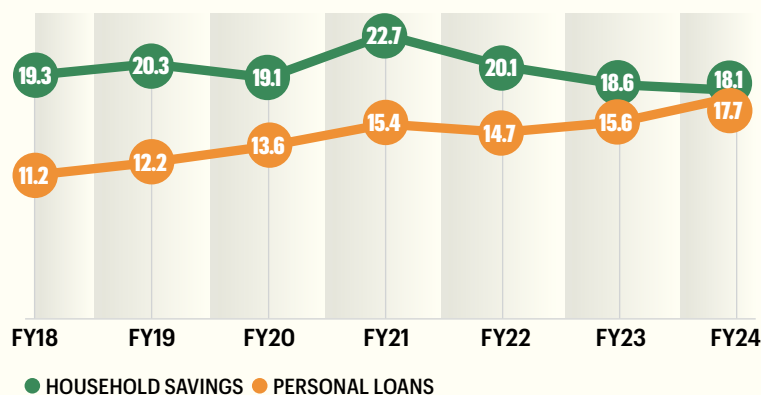
Additionally, announcements on

...BUT CHALLENGES REMAIN

- Overall capex remains lower than the peak of FY18



- Household leverage is rising, even as savings dip



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consolidation and stake sales in public sector banks as well as the completion of the disinvestment of IDBI Bank will be watched.

Pant of India Ratings says one area that will receive close attention is the allocation for the newly launched Viksit Bharat-Guarantee for Rozgar and Ajeevika Mission (Gramin), or VB-G RAM G, for FY27 considering its impact on the rural economy. “While the government has focussed on physical infrastructure, what is also needed is an improvement in the quality of the labour force that will use and operate these infrastructure

assets. There could be higher allocation for the social sector,” he adds.

Measures for improving urban infrastructure—including better sanitation systems and roads—are also expected as these would encourage foreign players to set up factories in India, apart from improving the lives of citizens.

Clearly, there is a lot to be done. The Goldilocks moment gives the government the much-needed breathing space to supercharge the reform drive. **BT**

@surabhi_prasad